IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
SPECIAL BENCH
COURT - 2

ITEM No.302

CA(CAA)/20(AHM)2023

Order under Sections 230-232 of Co. Act, 2013

IN THE MATTER OF:

Aalidhra Textool Engineers Pvt Ltd. **.....Applicant**
Aalidhra Corporate Pvt Ltd.

.....Respondent

Order delivered on 08/09/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Dr. Velamur G Venkata Chalapathy, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-Sd-

DR. V. G. VENKATA CHALAPATHY
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
SPECIAL BENCH
COURT NO. II

CA (CAA) 20/AHM/2023

IN THE MATTER OF THE COMPANIES ACT, 2013
[Application under Sections 230 and 231 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013]

SCHEME OF ARRANGEMENT

BETWEEN

AALIDHRA TEXTOOL ENGINEERS PRIVATE LIMITED,
(Applicant Company No. 1/Demerged Company)

WITH

AALIDHRA CORPORATE PRIVATE LIMITED,
(Applicant Company No. 2/Resulting Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 08.09.2023

Coram:
SHAMMI KHAN
HON'BLE MEMBER (JUDICIAL)

DR. V. G. VENKATA CHALAPATHY
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

AALIDHRA TEXTOOL ENGINEERS PRIVATE LIMITED,
(CIN: U29259GJ1990PTC014034)
Registered office at;
Plot No. B/168, Road No. 6 G, New
Industrial Estate, Udyognagar, Udhana,
Surat – 394 210, Gujarat – 391 510.

...Applicant Company No. 1/
Demerged Company

WITH

AALIDHRA CORPORATE PRIVATE LIMITED,
(CIN: U17299GJ2021PTC126119)
Registered office at;
2, Functional Estate, New Industrial
Estate, Road No. 6, Udhna,
Surat – 394 210, Gujarat.

...Applicant Company No. 2/
Resulting Company

Appearance:

For the Applicant : Mr. Jaimin Dave, Ld. Adv. a.w. Ms. Hirva Dave, Ld. Adv.

O R D E R

1. The present joint Application is filed by Aalidhra Textool Engineers Private Limited and Aalidhra Corporate Private Limited (Applicant Companies) under Sections 230-232 and other applicable provisions of the Companies Act, 2013 ("the Act") read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016. The proposed Composite Scheme of Arrangement in the nature of Demerger of Aalidhra Textool Engineers Private Limited (Demerged Company) and Aalidhra Corporate Private Limited (Resulting Company) and their respective Shareholders and Creditors with effect from the

Appointed Date, i.e. 01.04.2022, on the agreed terms and conditions as set out in the Scheme annexed with the application in accordance with Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Act.

2. Affidavits are filed in support of the Application sworn for and on behalf of Applicant Companies Mr. Chandrakant Gondalia Director and Authorised Signatory of the Applicant Companies. The Board Resolutions passed in the respective meeting of the Board of Directors on 01.08.2022 for the respective Applicant Companies.

3. It is submitted that the Demerged Company having CIN: U29259GJ1990PTC014034 is incorporated under the provisions of the Companies Act, 1956, and is presently having its Registered office at; Plot No. B/168, Road No. 6 G, New Industrial Estate, Udyognagar, Udhana, Surat – 394 210, Gujarat. The Authorised Share Capital of Demerged Company is Rs. 50,00,000/- which is divided into 50,000 Equity shares of Rs. 100/- each. The issued, Subscribed, and Paid-up Share Capital of the Company is Rs. 14,50,000/- which is divided into 14,500 equity shares of Rs. 100/- each.

4. It is submitted that the Demerged Company carries on the business of textiles engineers and manufacturers and dealers in textile machinery, and manufacture, produce, repairs, alter, convert, recondition, resales, hire import, export, market let on hire, trade and deal inspares, plants, accessories, fittings, engineering goods, rolling stock, hardware required for textile industries etc.

5. It is submitted that the Resulting Company having CIN: U17299GJ2021PTC126119 is incorporated under the provisions of the Companies Act, 2013, and is presently having its Registered office at; 2, Functional Estate, New Industrial Estate, Road No. 6, Udhna, Surat – 394 210, Gujarat. The Authorised Share Capital of the Resulting Company is Rs. 15,00,000/- which is divided into 1,50,000 Equity shares of Rs. 10/- each. The Issued, Subscribed, and Paid-up Share Capital of the Company is Rs. 50,000/- which is divided into 5,000 equity shares of Rs. 10/- each.

6. It is submitted that the Resulting Company carries on the business, of manufacturing of textile activities and petrochemical activities related to textile sector, and the business of manufacturing, producing, processing, crimping, twisting, texturizing, blending, mixing, purchasing, selling, importing, exporting, marketing and dealing in all kinds of natural and manmade fibres, yarns, fibre cords, cotton yarns, polyester fibres, jute, wool, ilk, core, art silk, nylon fibres, fabrics, synthetic and other fibrous materials, clothes, dressing materials, furnishing materials, khadi uniforms, readymade garments, apparels, carpets, carpet banking, blankets, padding, knitted goods, hosiery, gloves and sewing threads etc.

7. It is also represented that the registered offices of both the Applicant Companies are situated within the territorial jurisdiction of Registrar of Companies, Ahmedabad, Gujarat, which is falling under the jurisdiction of this Tribunal.

8. The Applicant Companies are empowered by their respective Memorandum and Articles of Association to enter into the Scheme of Arrangement. Copies of the Memorandum and Articles of

Association of both the Applicant Companies are annexed with the application.

9. The Board of Directors of both the Applicant Companies in their respective Board Meetings held on 1st August, 2022 passed a resolution approving the proposed Scheme as placed before the Board. Copies of the Board Resolutions are annexed with the application. The Applicant Companies have filed their latest Audited Balance Sheets as on 31st March, 2022 along with the application. The Applicant Companies have also filed its Unaudited Balance Sheets as on 31st December, 2022 along with the application.

10. Both the Applicant Companies have filed the certificates from respective Statutory Auditors, confirming the Proposed Accounting Treatment being in conformity with the Applicable Accounting Standards under Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014.

11. Both the Applicant Companies have submitted that no investigation instituted or pending in relation to the Applicant Companies under Chapter XIV of the Act or under the corresponding provisions of Section 235 to 251 of the Companies Act, 1956. Further, no proceedings are pending under the Act or under the corresponding provisions of the Companies Act, 1956 against any of Applicant Companies. Neither insolvency nor winding up proceedings have been filed or are pending against the Applicant Companies.

12. It is further submitted that none of the Applicant Companies are listed companies and further none of the companies are non-banking financial institutions or banking companies and hence,

notice to other authorities including the Stock Exchange, Securities and Exchange Board of India, the Reserve Bank of India ("RBI"), etc. are not required. None of the Applicant Companies are wholly owned subsidiary or holding company.

13. The Applicant Companies have further submitted that the provisions of the Competition Act, 2002 are not applicable in the present case. Hence, no notice is required to be issued to the Competition Commission of India.

14. Both the Applicant Companies have placed on record their Share Entitlement Report prepared by Registered Valuer Ms. Priyanka Mundra (IBBI Registration Number- IBBI/RV/05/2021/14409).

15. Rationale and purpose of the Scheme: The scheme of arrangement is stated as under:

The demerged company is holding 44% share of profit and loss in partnership firm M/s. Gokulanand Petrofibres (also known as Gokulanand Petro Fibres), having PAN No.: AAEFG4816C. M/s. Gokulanand Petro Fibres is in mainly in business of manufacturing textile products such as Partially oriented yarn (POY), Fully Drawn Yarn (FDY), Texturized Yarn and Textile related petrochemical such as Polyester Chips.

The demerged company has also leased or otherwise allowed M/s. Gokulanand Petrofibres to use its immovable properties. The factories and other establishments of M/s. Gokulanand Petrofibres are situated on such immovable properties.

The core business of the Demerged Company is manufacturing of Textile Machinery and Parts thereof, which is different from the business of manufacturing Textiles and Textile related

petrochemical business, so restructuring is proposed to demerge Textile and Textile related petrochemical business as partner of M/s. Gokulanand Petrofibres, which will result in the following benefits:-

The proposed restructuring pursuant to this Scheme is expected inter alia, to result in following benefits:

i) *Segregation of the Demerged Business of Demerged Company into Resulting Company*
ii) *The management of Resulting Company will have the benefit of the resources of Demerged Company i.e., equipment, finances, customers etc. Further, the proposed restructuring will provide an opportunity to expand the Demerged Business which is presently undertaken by the Demerged Company with the help of the experienced management of the Resulting Company. This will also benefit all the stakeholders.*
iii) *Demerged Company as well as Resulting Company would have its own management teams, board of directors who can chart out their own independent strategies to maximize value creation for their respective stakeholders.*
iv) *The proposed segregation would enable greater/enhanced focus by the management of the Demerged Company in the Remaining Business of the Demerged Company.*
v) *Restructuring will provide an opportunity to build a stronger sustainable business as well as enhance the financial profile of the Resulting Company.*
vi) *It is believed that the proposed demerger will create enhanced value for shareholders and allow a focused strategy and specialization for sustained growth, which*

would be in the best interest of all the stakeholders and the persons connected with the aforesaid companies;

vii)The demerger will also provide scope for independent collaborations and expansion.

In view of the aforesaid advantages, Board of Directors of Demerged Company and Resulting Company have considered and proposed the Scheme of Arrangement. The proposed restructuring is in the interest of the shareholders, creditors, employees and other stakeholders of each of the companies.

16. With respect to the Demerged Company, it is stated that:

a) There are 9 (Nine) Equity Shareholders and certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. All Equity Shareholders have given their consent by way of affidavits for the proposed scheme. The original consent affidavits of all Equity Shareholders are annexed with the application. Hence, the Demerged Company is seeking dispensation for holding/convening the meeting of Equity Shareholders.

b) There are no Secured Creditors in the Demerged Company. A certificate from Chartered Accounted certifying the NIL Secured Creditors is annexed with the application. Hence, the question of holding the meeting of creditors does not arise.

c) There are 280 Unsecured Creditors certificates from Chartered Accountant certifying the list of the Unsecured Creditors is annexed with the application. It is stated that more than 90% of the Unsecured Creditors of the Demerging Company have given their consent affidavit for the proposed scheme. The

original consent affidavits of 120 Unsecured Creditors having value of Rs.16,76,15,155/- i.e. having 92.21% of the total Unsecured debt are placed on record who have consented for approving the proposed scheme of Demerger. Hence, the Demerged Company is seeking dispensation for holding/convening the meeting of Unsecured Creditors in accordance with the provisions contained under Section 230(9) of the Companies Act.

17. With respect to the Resulting Company, it is stated that:

a) There are 9 (Nine) Equity Shareholders and certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. All Equity Shareholders have given their consent by way of affidavits for the proposed scheme. The original consent affidavits of all Equity Shareholders are annexed with the application. Hence, the Resulting Company is seeking dispensation for holding/convening the meeting of Equity Shareholders.

b) There are no Secured Creditors in the Resulting Company. A certificate from Chartered Accounted certifying the NIL Secured Creditors is annexed with the application. Hence, the question of holding the meeting of creditors does not arise.

c) There is 1 (one) Unsecured Creditor certificate from Chartered Accountant certifying the list of the Unsecured Creditor is annexed with the application. The sole Unsecured Creditor being the Demerging Company, has given its consent by way of affidavit for the proposed scheme. The original consent affidavit of the sole Unsecured Creditor is annexed with the application. Hence, the Resulting Company is seeking

dispensation for holding/convening the meeting of the Unsecured Creditor.

18. On 19.05.2023, the Tribunal had sought the following Clarifications from the applicant companies:-

" As per the certificate of CA regarding unsecured creditors (total number-280) of the applicant company No.1, annexed on page No. 252, the consent affidavit is annexed on page No.252, the consent affidavit is annexed at 262 to 699, but the copy of the Board Resolution / Authorization of the person giving consent is not annexed."

Ld. Counsel for the applicant companies has filed a Purshis dated 27.06.2023 on 28.06.2023 along with the Board Resolutions / Authority Letters of 120 Unsecured Creditors of the Applicant Company No.1, who have given consent affidavits approving the proposed Scheme of Demerger.

19. We have heard Ld. Counsel Mr. Jaimin Dave for the applicant companies and perused the documents. Taking into consideration the submissions and the documents filed therewith, we issue the following directions:

i) <u>In relation to the Demerged Company:</u>

a. <u>With respect to Equity Shareholders:</u>
   The meeting of the Equity Shareholders of the Demerged Company is hereby dispensed with, in view of the consent affidavits attached with the application.

b. <u>With respect to Secured Creditors:</u>
   The meeting of the Secured Creditors of the Demerged Company is not required as there are no Secured Creditors.

c. <u>With respect to Unsecured Creditors:</u>

The meeting of the Unsecured Creditors of the Demerged Company is hereby dispensed with, in view of 92.21% i.e. more than 90% consent received by way of affidavits from Unsecured Creditors, in accordance with Section 230(9) of the Companies Act, 2013.

ii) <u>In relation to the Resulting Company:</u>

a. <u>With respect to Equity Shareholders:</u>

The meeting of the Equity Shareholders of the Resulting Company is hereby dispensed with, in view of the consent affidavits attached with the application.

b. <u>With respect to Secured Creditors:</u>

There are no secured creditors. Hence, the convening of the meeting of secured creditors is obviated.

c. <u>With respect to Unsecured Creditors:</u>

The meeting of the Unsecured Creditors of the Resulting Company is hereby dispensed with, in view of the consent affidavits attached with the application.

20. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to **(i)** the Central Government through the Regional Director, North Western Region, **(ii)** the Registrar of Companies, Gujarat, and **(iii)** the Income Tax authorities concerned, stating that representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand

delivery or by email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

21. The Application is allowed and disposed of in terms of the above directions.

-Sd-	**-Sd-**
DR. V. G. VENKATA CHALAPATHY **MEMBER (TECHNICAL)**	**SHAMMI KHAN** **MEMBER (JUDICIAL)**